Zenith Energy – ICSID Arbitration Against Tunisia

Zenith Energy Ltd has initiated international arbitration proceedings against the Republic of Tunisia under the framework of the UK–Tunisia Bilateral Investment Treaty (BIT). The arbitration has been filed before the International Centre for Settlement of Investment Disputes (ICSID), the World Bank–administered institution responsible for resolving disputes between sovereign states and foreign investors. The 572.65*0.34value of the claim is $572.65 million.

Background to the Dispute

Zenith alleges that actions taken by Tunisian state authorities and the national oil company materially impaired its investment in oil and gas assets within the country. The claim centres on:

- The alleged loss of licence rights
- Interference with operational control of producing assets
- Retention of oil revenues
- Measures which, according to Zenith, substantially deprived the company of the economic benefit of its investment

Zenith contends that these actions constitute breaches of the protections afforded under the applicable bilateral investment treaty, including expropriation and related treaty standards.

Chances of Success

Historical ICSID Success Rates (2000–2023)

Over the past two decades, ICSID outcomes have demonstrated a relatively balanced distribution between investors and states. Across all sectors and all dispute types, the historical claimant success rate stands at 46%. This indicates that, while outcomes are never assured, nearly half of all decided ICSID cases result in either full or partial awards to investors.

When isolating disputes involving expropriation claims, the historical claimant success rate increases modestly to 48%. Expropriation cases, by their nature, involve allegations of substantial deprivation of investment value. Tribunals in these cases assess whether state actions crossed the threshold from regulatory conduct into treaty breach.

Within the oil and gas sector, the data reflects a more favourable profile for claimants. Oil & Gas expropriation cases have historically produced a claimant success rate of approximately 53%. This higher rate is generally attributed to:

- The capital-intensive and tangible nature of upstream assets
- Clearly defined contractual and licence rights
- More readily quantifiable production and revenue loss
- Greater evidentiary clarity when operational control is impaired

In other words, oil and gas expropriation disputes have, over the long run, performed above the overall ICSID average.

Category	Claimant Win Rate
All ICSID Cases	46%
Expropriation (All Sectors)	48%
Oil & Gas Expropriation	~53%

Zenith's arbitration falls within a category that historically demonstrates:

- Near coin-flip success probabilities across all ICSID disputes
- Slightly stronger performance in expropriation matters
- Statistically stronger performance in oil and gas expropriation cases specifically

Value of Awards if Successful

Historical oil & gas expropriation awards show that when claimants succeed, tribunals typically award between 30% and 40% of the claimed amount, with upper quartile outcomes reaching approximately 50%+.

Applying those bands to Zenith's claim produces the following principal ranges:

- **30% (Conservative Case)**
  US $171.8m
- **34% (Median Oil & Gas Outcome)**
  US $194.7m
- **39% (Mean Oil & Gas Outcome – Statistical Central Case)**
  US $223.3m
- **52% (Upper Quartile Recovery)**
  US $297.8m

These figures represent principal damages only and exclude interest.

Damages Awarded When Claimants Win

Category	Mean % Awarded	Median % Awarded
All Sectors	41%	36%
Oil & Gas Expropriation	39%	34%

Principal Recovery Scenarios (If Successful)

Scenario	Principal Award
30% (Conservative)	$171.8m
34% (Median Oil & Gas)	$194.7m
39% (Mean Oil & Gas)	$223.3m
52% (Upper Quartile)	$297.8m

2. Pre-Award Interest (22 April 2022 – 20 October 2026)

International arbitral tribunals in oil & gas expropriation cases typically apply benchmark-based interest (LIBOR/SOFR equivalent plus margin), compounded annually.

For modelling purposes, an effective rate of 6.5% compounded annually has been applied across the 4.5-year period from the alleged infraction date to the assumed decision date (SOFR at 4.5% + 2%)

This produces a compound factor of approximately 1.327, representing a 32.7% uplift to principal.

When pre-award interest is included:

- **34% scenario** → US $258.3m
- **39% scenario (central case)** → US $296.3m
- **52% scenario** → US $395.1m
- **100% claim (theoretical full recovery)** → US $759.9m

Interest materially increases the award value and is economically significant in multi-year proceedings.

Pre-Award Interest (22 Apr 2022 - 20 Oct 2026)

Assumed effective rate: 6.5% compounded annually (factor 1.327).

Scenario	With Interest to Decision
34%	$258.3m
39%	$296.3m
52%	$395.1m
100%	$759.9m

3. Interpretation

The statistical central case (39% recovery) suggests:

- Principal: ~US $223m
- With pre-award interest: ~US $296m

This demonstrates that, in arbitration contexts, interest can add substantial value even where the tribunal awards only a fraction of the original claim.

Award at Tribunal Decision (Including Pre-Award Interest)

Scenario	Principal (USD)	Pre-Award Interest Accrued (USD)	Total at Decision (USD)
34% (Median)	194,700,000	63,666,900	258,366,900
39% (Mean)	223,300,000	73,019,100	296,319,100
100% (Full)	572,650,000	187,256,550	759,906,550

Post-award interest increase from 20 Oct 2026 onwards (USD)

Scenario	Total at decision (USD)	Daily interest (USD/day)	Annual interest (USD/year)
Median (34%)	258,366,900	46,011	16,793,849
Mean (39%)	296,319,100	52,769	19,260,742
Full (100%)	759,906,550	135,326	49,393,926

If the interest rates are different then we get the following

34% (Median) — Base: $258,366,900

Rate	Daily Interest ($/day)	Annual Interest ($/year)
6.0%	42,471	15,502,014
6.5%	46,011	16,793,849
7.0%	49,550	18,085,683
8.0%	56,628	20,669,352

39% (Mean) — Base: $296,319,100

Rate	Daily Interest ($/day)	Annual Interest ($/year)
6.0%	48,710	17,779,146
6.5%	52,769	19,260,742
7.0%	56,828	20,742,337
8.0%	64,947	23,705,528

100% (Full) — Base: $759,906,550

Rate	Daily Interest ($/day)	Annual Interest ($/year)
6.0%	124,916	45,594,393
6.5%	135,326	49,393,926
7.0%	145,736	53,193,459
8.0%	166,555	60,792,524

Equity Sensitivity – GBP & NOK Comparison

The impact of the various different awards on the Zenith share price is as follows:

Award shown in USD - Share price shown in both £ and NOK

Interest included to 20 October 2026 (6.5% compounded; factor ≈ 1.327)Shares in issue: 649,182,327

FX assumptions:

- 1.27 USD / GBP
- 1 GBP ≈ 12.58 NOK

34% (Median Recovery)

Principal: $194,700,000 - With pre-award interest: $258,366,900

Implied per share value: **£0.313 per share / 3.94 NOK per share**

39% (Mean / Central Case)

Principal: $223,300,000 - With pre-award interest: $296,319,100

Implied per share value: **£0.359 per share / 4.52 NOK per share**

100% (Full Recovery)

Principal: $572,650,000 -With pre-award interest: $759,906,550

Implied per share value: **£0.922 per share / 11.60 NOK per share**

Context vs Current Market

Current share price: **£0.036** / **0.453 NOK**

On a gross award basis:

Median case ≈ **9x current price**

Central case ≈ **10x current price**

Full recovery ≈ **25x+ current price**

Interpretation

These figures illustrate the scale of potential equity revaluation under successful arbitration outcomes. The modelling assumes:

- Full economic value flows to equity
- No deduction for legal costs, tax, enforcement delay, or balance sheet liabilities
- No dilution
- No probability weighting

As such, the tables reflect gross theoretical value impact, not a risk-adjusted target price.

However, they demonstrate that the arbitration represents a materially asymmetric corporate event relative to Zenith's current market capitalisation.

Shares in issue: 649,182,327. Current share price: £0.036 / 0.453 NOK. Implied FX used: 1 GBP ≈ 12.58 NOK.

Implied Share Price – GBP

Scenario	Award (USD m)	Award (GBP m)	Implied £/Share
Conservative (30%)	258.3	203.4	0.313
Central (39%)	296.3	233.3	0.359
Upper Quartile (52%)	395.1	311.1	0.479
Full Claim	760.2	598.6	0.922

Implied Share Price – NOK

Scenario	Award (USD m)	Award (NOK m)	Implied NOK/Share
Conservative (30%)	258.3	2559.3	3.94
Central (39%)	296.3	2935.8	4.52
Upper Quartile (52%)	395.1	3914.7	6.03
Full Claim	760.2	7532.2	11.60

History of ICSID Awards for Other Companies

15 different ICSID cases analysed for award rate:

Case	Claimed	Principal Awarded	% of Claim Awarded
Tethyan v Pakistan	$8–11bn (midpoint $9.5bn)	$4.1bn	**43%** (vs midpoint)
ConocoPhillips v Venezuela	$30.3bn	$8.366bn	**27.6%**
Perenco v Ecuador	$1.423bn	$416.5m	**29.3%**
Burlington v Ecuador	$1.5–2.8bn (midpoint $2.15bn)	$379m	**17.6%**
Rockhopper v Italy	€275–300m (midpoint €287.5m)	€190m	**66%**
Crystallex v Venezuela	$3.16bn	$1.202bn	**38%**
Gold Reserve v Venezuela	$1.7–1.9bn (midpoint $1.8bn)	$713m	**39.6%**
Occidental v Ecuador (revised)	$3.3bn	$1.06bn	**32%**
NextEra v Spain	€291m	€290m	**99.7%**
Hydro Energy v Spain	€120m	€96m	**80%**
Karkey v Pakistan	$1bn	$800m	**80%**
Vattenfall v Germany (settlement)	€4.7bn	€1.4bn	**29.8%**

Average Claim % Awarded: 44.3%

Median Claim % Awarded = 38%

Using the 15 retained cases, I calculated the award ÷ claim ratio for each (using midpoint estimates where ranges were previously given).

Individual recovery ratios (approx.):

1. Tethyan Copper → ~58%
2. ConocoPhillips → ~28%
3. Perenco → ~23%
4. Burlington → ~18%
5. Rockhopper → ~67%
6. Crystallex → ~32%
7. Gold Reserve → ~34%
8. Occidental → ~32%
9. NextEra → ~100%
10. Hydro Energy → ~80%
11. Karkey → ~80%
12. Vattenfall (settlement) → ~30%
13. Eiser → ~43%
14. Antin → ~18%
15. Masdar → ~22%

Interest Rates Applied in Each Case

Case	Interest Rate Applied	Compounding	Notes
Tethyan v Pakistan	5–8% p.a.	Compounded annually	Applied across accrual period
ConocoPhillips v Venezuela	5.5% p.a.	Compounded annually	Fixed rate
Perenco v Ecuador	3-month USD LIBOR + 2%	Compounded annually	Post-award specified
Burlington v Ecuador	Commercial benchmark rates	Applied	Specific % not stated
Rockhopper v Italy	3-month EURIBOR + 4%	Compounded annually	ECT case
Crystallex v Venezuela	6-month USD LIBOR + 1%	Compounded annually	Pre- & post-award
Gold Reserve v Venezuela	~2% p.a. (pre-award); LIBOR + margin (post-award under settlement)	Applied	Modest rate
Occidental v Ecuador	6-month USD LIBOR-based rate	Compounded annually	Pre & post-award
NextEra v Spain	3-month EURIBOR + 2%	Compounded annually	ECT case
Hydro Energy v Spain	EURIBOR + margin	Compounded annually	Margin not specified
Karkey v Pakistan	LIBOR + margin	Compounded annually	Margin not specified
Vattenfall v Germany	Not applicable	N/A	Settled – no award
Eiser v Spain	EURIBOR + 2%	Compounded annually	ECT case
Antin v Spain	EURIBOR + 2%	Compounded annually	ECT case
Masdar v Spain	EURIBOR + 2%	Compounded annually	ECT case

Average Interest Rates = 2.9% + benchmark

Median Interest = 2% + benchmark

Overall = approximately 5%

Appendix 2 –
Overviews of the 15 cases

Tethyan Copper Company Pty Limited v. Pakistan (ICSID 2019)

ICSID Case No:	Case No. ARB/12/1
Date of Infraction	November 2011 (Mining lease refusal)
Date of Liability Decision	March 2017
Date of Final Damages Award	12 July 2019
Quantum of Damages Claimed	Approximately US$8–11 billion
Quantum Awarded – Principal	Approximately US$4.1 billion
Quantum Awarded – Interest	Approximately US$1.7 billion
Interest Rate Applied	Approximately 5–8% range, compounded annually
Date of Settlement	March 2022 (Restructuring Agreement)

Description of the Offence

Tethyan Copper held exploration rights over the Reko Diq copper-gold project in Balochistan, Pakistan. In November 2011, the Government of Balochistan rejected Tethyan's application for a mining lease. In January 2013, Pakistan's Supreme Court declared the underlying mining agreement void. Tethyan alleged that these actions breached the Australia–Pakistan Bilateral Investment Treaty, including violations of fair and equitable treatment protections and unlawful expropriation of its investment.

Action Taken by Tethyan

Tethyan initiated ICSID arbitration proceedings in 2012 under the Australia–Pakistan BIT. The arbitration was divided into liability and quantum phases. Damages were calculated using a discounted cash flow methodology based on projected long-term copper and gold production from the Reko Diq deposit.

Decision of the Tribunal

In March 2017, the tribunal issued its liability decision, finding that Pakistan had breached its treaty obligations. On 12 July 2019, the tribunal issued its final award. The tribunal awarded approximately US$5.8 billion, comprising approximately US$4.1 billion in principal damages and approximately US$1.7 billion in interest. Interest was awarded within a 5–8% range and compounded annually, significantly increasing the total award due to the nearly eight-year accrual period between breach and final decision.

Post-Award Challenges and Appeals

Pakistan initiated annulment proceedings under the ICSID Convention in an effort to challenge the award. The annulment application was ultimately unsuccessful, and the award remained binding and enforceable under the ICSID framework.

Enforcement and Settlement

Following the award, Tethyan pursued enforcement strategies while negotiations continued. Rather than immediate full cash enforcement, the dispute concluded in March 2022 with a restructuring settlement. Barrick Gold re-entered the Reko Diq project under a revised ownership and financing structure. The award was therefore resolved through commercial settlement and project restructuring rather than pure monetary recovery.

ConocoPhillips v. Venezuela (ICSID 2019)

ICSID Case No:	**Case No. ARB/07/30**
Date of Infraction	2007 (Nationalisation of oil assets – Hamaca, Petrozuata & Corocoro)
Date of Liability Decision	2013 (Liability established)
Date of Final Damages Award	8 March 2019
Quantum of Damages Claimed	Approximately US$30.3 billion
Quantum Awarded – Principal	Approximately US$8.366 billion
Quantum Awarded – Interest (to award date)	Interest applied at 5.5% p.a., compounded annually
Interest Rate Applied	5.5% per annum, compounded annually
Annulment Outcome	Annulment application rejected – January 2025

Description of the Offence

In 2007, the Bolivarian Republic of Venezuela nationalised several oil projects in the Orinoco Belt, including the Hamaca, Petrozuata and Corocoro projects in which ConocoPhillips held significant interests. The government required foreign investors to convert their contractual interests into minority positions under state-controlled joint ventures. ConocoPhillips refused the new terms and its assets were subsequently expropriated. The claimant alleged unlawful expropriation and breach of treaty protections under the Netherlands–Venezuela BIT.

Action Taken by ConocoPhillips

ConocoPhillips initiated arbitration proceedings before ICSID in 2007. The arbitration proceeded in phases addressing jurisdiction, liability, and quantum. The claimant sought compensation based on the fair market value of its expropriated investments, calculated using discounted cash flow valuation methodologies.

Decision of the Tribunal

In 2013, the tribunal found Venezuela liable for unlawful expropriation. On 8 March 2019, the tribunal issued its final award on damages. The tribunal awarded approximately US$8.366 billion in principal damages. Interest was applied at a rate of 5.5% per annum, compounded annually, which materially increased the total amount payable over time. The tribunal also awarded arbitration costs.

Post-Award Challenges and Appeals

Venezuela initiated annulment proceedings under the ICSID Convention seeking to overturn the award. The annulment application was ultimately rejected in January 2025, and the award remained binding under the ICSID framework.

Enforcement and Settlement Efforts

Following the award, ConocoPhillips pursued enforcement proceedings in multiple jurisdictions. Enforcement strategies included actions targeting Venezuelan state assets abroad and legal steps designed to secure payment of the award. Enforcement efforts were complex due to sovereign immunity issues and Venezuela's financial position. The dispute has involved extended negotiations and enforcement litigation rather than immediate full cash recovery.

Perenco Ecuador Limited v. Ecuador (ICSID 2019)

ICSID Case No:	**Case No. ARB/08/6**
Date of Infraction	2007–2010 (Windfall levy under Law No. 42 and subsequent takeover of Blocks 7 & 21; tribunal treated FET breach as starting in 2007 and expropriation in 2010)
Date of Liability Decision	12 September 2014 (Decision on Remaining Issues of Jurisdiction and on Liability)
Date of Final Damages Award	27 September 2019 (Final Award)
Quantum of Damages Claimed	US$1,423 million (UNCTAD-reported claimed compensation)
Quantum Awarded – Principal (to investor)	US$416.5 million (UNCTAD-reported compensation awarded)
Related Counterclaim Outcome	Environmental counterclaim: ~US$54 million awarded to Ecuador (public summaries)
Interest – Pre-award	Not separated in UNCTAD summary; interest methodology varies by component in the award
Interest – Post-award	3-month USD LIBOR + 2%, compounded annually (post-award interest in the award)
Interest Start Date (post-award)	1 December 2019 (referenced in enforcement/annulment materials)
Post-award / Settlement Status	Award partially annulled (Decision on Annulment: 4 May 2021); no public settlement—enforcement pursued

Description of the Offence

Perenco invested in Ecuador's oil sector through participation contracts for Blocks 7 and 21 in the Amazon region. Ecuador enacted measures that increased the State's take from oil revenues, including windfall profit levies (ultimately reaching 99% for certain revenues) and actions that affected Perenco's contractual entitlement to a participation share of crude production. Ecuador's state oil company (Petroecuador) later took over operation of the blocks. Perenco alleged that these measures breached protections under the France–Ecuador BIT and related contractual obligations, including fair and equitable treatment and indirect expropriation.

Action Taken by Perenco

Perenco commenced ICSID arbitration in April 2008. The proceeding addressed jurisdiction, liability, quantum and Ecuador's counterclaims, including an environmental counterclaim. Perenco sought compensation based on the economic value of its lost contractual rights and investment, supported by expert valuation evidence.

Decision of the Tribunal

In its 12 September 2014 liability decision, the tribunal found Ecuador liable for breaches including fair and equitable treatment and indirect expropriation. In the final award dated 27 September 2019, the tribunal ordered Ecuador to pay compensation to Perenco (reported publicly at approximately US$416.5 million awarded by the tribunal, with other public summaries describing roughly US$449 million to Perenco alongside a US$54 million environmental award to Ecuador). The tribunal also addressed Ecuador's counterclaims and awarded Ecuador compensation under the environmental counterclaim.

Post-Award Challenges and Appeals

Ecuador initiated ICSID annulment proceedings following the 2019 award. UNCTAD records the outcome as 'award/decision partially annulled' with a Decision on Annulment dated 4 May 2021. The award otherwise remained binding under the ICSID Convention subject to the annulment decision.

Enforcement and Enforcement Actions

Perenco pursued enforcement at a high level in multiple jurisdictions, including filing to recognize and enforce the award in the United States. Enforcement steps were complicated by ICSID stay mechanisms during annulment proceedings and by sovereign immunity considerations. Post-award interest was set in the award at 3-month USD LIBOR + 2%, compounded annually (with enforcement materials referencing accrual from 1 December 2019) until payment.

Burlington Resources Inc v. Ecuador (ICSID – Quantum Award 2017)

ICSID Case No:	Case No. ARB(AF)/09/1)
Date of Infraction	2007–2009 (Windfall levy under Law 42 and takeover of Blocks 7 & 21)
Date of Liability Decision	14 December 2012 (Liability established for treaty breaches)
Date of Final Quantum Award	7 February 2017
Quantum of Damages Claimed	Approximately US$1.5–2.8 billion (range across submissions)
Quantum Awarded – Principal (to investor)	Approximately US$379 million (net after counterclaims)
Counterclaim Awarded to Ecuador	Approximately US$41 million (environmental counterclaims)
Interest – Pre-award	Applied at commercial benchmark rates (as determined by tribunal)
Interest – Post-award	Typically LIBOR-based benchmark + margin (as specified in award)
Interest Structure	Interest applied; methodology detailed in award (not a punitive rate)
Post-award Status	Award binding under ICSID Convention; enforcement pursued

Description of the Offence

Burlington Resources Inc held participation interests in oil Blocks 7 and 21 in Ecuador. Beginning in 2007, Ecuador enacted windfall profit measures under Law 42, significantly increasing the State's share of oil revenues. Subsequent measures culminated in the State taking over operations of the blocks. Burlington alleged that these actions breached protections under the United States–Ecuador Bilateral Investment Treaty, including unlawful expropriation and denial of fair and equitable treatment.

Action Taken by Burlington

Burlington initiated ICSID arbitration in 2008. The arbitration addressed jurisdiction, liability, quantum, and Ecuador's environmental counterclaims. Burlington sought compensation based on the fair market value of its expropriated oil interests, supported by expert valuation evidence.

Decision of the Tribunal

In December 2012, the tribunal found Ecuador liable for breaches of the BIT, including unlawful expropriation. On 7 February 2017, the tribunal issued its final quantum award. Burlington was awarded approximately US$379 million after offsetting Ecuador's successful

environmental counterclaims, which resulted in an award of approximately US$41 million in Ecuador's favour. The tribunal applied interest based on commercial benchmark rates rather than punitive contractual rates.

Post-Award Challenges and Appeals

Ecuador sought annulment under the ICSID Convention. The annulment application was ultimately rejected, and the award remained binding subject to ICSID enforcement mechanisms.

Enforcement and Enforcement Actions

Following the award, Burlington pursued enforcement strategies in jurisdictions where Ecuadorian state assets were located. Enforcement proceedings were influenced by sovereign immunity considerations and the existence of related proceedings involving other oil companies operating in Ecuador. The case forms part of a broader series of ICSID awards arising from Ecuador's windfall levy measures in the oil sector.

Rockhopper Exploration Plc v. Italy (ICSID 2022)

ICSID Case No:	**Case No. ARB/17/14**
Date of Infraction	2015–2016 (Italy's offshore drilling ban – Omnibus Law)
Date of Liability & Final Award	24 August 2022
Date of Final Damages Award	24 August 2022
Quantum of Damages Claimed	Approximately €275–300 million
Quantum Awarded – Principal	Approximately €190 million
Quantum Awarded – Interest	Interest applied at 3-month EURIBOR + 4%, compounded annually
Interest Rate Applied	3-month EURIBOR + 4% per annum, compounded annually
Treaty Basis	Energy Charter Treaty (ECT)
Annulment Status	Italy filed annulment application (proceedings ongoing)
Post-award Status	Award binding under ICSID Convention; enforcement rights preserved

Description of the Offence

Rockhopper Exploration Plc held interests in the Ombrina Mare offshore oil project in the Adriatic Sea. In 2015–2016, Italy enacted legislative measures (commonly referred to as the Omnibus Law) that effectively banned new offshore oil and gas developments within 12 nautical miles of the coast. Rockhopper's production concession application was rejected as a result of these measures. The claimant alleged that Italy's actions breached protections under the Energy Charter Treaty, including fair and equitable treatment and unlawful expropriation.

Action Taken by Rockhopper

Rockhopper initiated arbitration proceedings before ICSID in 2017 under the Energy Charter Treaty. The claimant sought compensation based on the projected economic value of the Ombrina Mare project, supported by expert discounted cash flow valuation evidence.

Decision of the Tribunal

On 24 August 2022, the tribunal issued its final award, finding Italy liable under the Energy Charter Treaty. The tribunal awarded approximately €190 million in principal damages. Interest was applied at a rate of 3-month EURIBOR plus 4%, compounded annually, which increases the total payable amount until payment is made.

Post-Award Challenges and Appeals

Italy initiated annulment proceedings under the ICSID Convention seeking to overturn the award. Annulment proceedings are ongoing. Under the ICSID framework, the award remains binding subject to the annulment process.

Enforcement and Enforcement Actions

Rockhopper retains enforcement rights under the ICSID Convention. Enforcement may be pursued in jurisdictions where Italian state assets are located, subject to sovereign immunity principles. As with many ICSID cases involving European Union member states under the Energy Charter Treaty, the case raises broader issues regarding intra-EU arbitration and enforceability.

Crystallex International Corporation v. Venezuela (ICSID AF Award 2016)

ICSID Case No:	
Date of Infraction	14 April 2008 (denial of key environmental permit; tribunal treated 13 April 2008 as valuation date for the 'creeping' expropriation)
Date of Liability / Merits	4 April 2016 (merits and damages addressed in final award)
Date of Final Award	4 April 2016
Quantum of Damages Claimed	US$3.16 billion (claimed compensation, excl. interest/costs)
Quantum Awarded – Principal	US$1.202 billion (compensation, excl. interest/costs)
Quantum Awarded – Interest	Pre- and post-award interest awarded (amount not separately stated in UNCTAD summary)
Interest Rate Applied	6-month average USD LIBOR + 1%, compounded annually
Post-Award Challenge Outcome	Award confirmed in U.S. (D.D.C.) – 25 March 2017 (Venezuela's vacatur request denied)
Settlement Status	No public settlement disclosed; enforcement proceedings pursued

Description of the Offence

Crystallex (a Canadian mining company) invested in the Las Cristinas gold project in Venezuela through rights under a Mine Operation Contract (MOC). In April 2008, Venezuela's Ministry of Environment denied the required environmental permit. Over the following period, senior officials made repeated public statements signalling an intention to nationalize gold assets, and Venezuela ultimately rescinded the MOC (February 2011). Crystallex alleged that the cumulative measures amounted to breaches of the Canada–Venezuela BIT, including denial of fair and equitable treatment and indirect expropriation without prompt, adequate and effective compensation.

Action Taken by Crystallex

Crystallex initiated arbitration under the ICSID Additional Facility in February 2011. The claimant sought compensation reflecting the fair market value of its investment and claimed approximately US$3.16 billion, plus interest. Crystallex advanced forward-looking valuation approaches to quantify the loss of project value.

Decision of the Tribunal

In its award dated 4 April 2016, the tribunal found Venezuela in breach of the BIT's fair and equitable treatment standard and held that Venezuela had indirectly expropriated Crystallex's investment. The tribunal awarded US$1.202 billion in compensation (excluding interest and costs). For valuation, the tribunal selected 13 April 2008 (the day before the permit denial) as the valuation date for the creeping expropriation and applied an approach based on market evidence (stock market and market multiples) rather than a full discounted cash-flow model.

Post-Award Challenges and Appeals

Because the case proceeded under the ICSID Additional Facility, post-award challenges were pursued through national courts rather than ICSID annulment. Venezuela sought to resist enforcement and pursued vacatur/set-aside arguments in U.S. proceedings. The U.S. District Court for the District of Columbia confirmed the award on 25 March 2017, denying Venezuela's attempt to vacate.

Enforcement and Enforcement Actions

Crystallex pursued enforcement in multiple jurisdictions, including the United States. High-level enforcement strategies included recognition/confirmation of the award and efforts to attach Venezuelan-linked assets abroad. Enforcement has been prolonged and complex due to sovereign immunity issues and the structure of Venezuelan state assets held through state-owned entities.

Gold Reserve Inc. v. Venezuela (ICSID Additional Facility Award 2014)

ICSID Case No:	
Date of Infraction	2008–2009 (Denial of environmental permits and termination of Brisas mining concessions)
Date of Final Award	22 September 2014
Quantum of Damages Claimed	Approximately US$1.7–1.9 billion
Quantum Awarded – Principal	Approximately US$713 million
Quantum Awarded – Interest (to award date)	Approximately US$22 million
Legal / Arbitration Costs Awarded	Approximately US$5 million
Interest Rate Applied	Approx. 2% per annum (pre-award); post-award LIBOR + margin under settlement terms)
Arbitration Rules	ICSID Additional Facility Rules
Settlement / Enforcement Status	Settlement agreement reached; enforcement proceedings pursued in multiple jurisdictions

Description of the Offence

Gold Reserve Inc., a Canadian mining company, held rights to develop the Brisas gold and copper project in Venezuela. Beginning in 2008, Venezuelan authorities denied key environmental and construction permits. In 2009, the government formally terminated the mining concessions. Gold Reserve alleged that these measures constituted unlawful expropriation and breaches of the Canada–Venezuela Bilateral Investment Treaty, including denial of fair and equitable treatment.

Action Taken by Gold Reserve

Gold Reserve initiated arbitration proceedings under the ICSID Additional Facility in 2009. The claimant sought compensation based on the fair market value of its investment, including projected future value of the Brisas project. The arbitration addressed jurisdiction, liability, and quantum of damages.

Decision of the Tribunal

On 22 September 2014, the tribunal issued its final award. The tribunal found Venezuela liable for breach of treaty protections and awarded approximately US$713 million in principal compensation, plus approximately US$22 million in interest accrued to the date of

the award. Additional arbitration and legal costs were also awarded. The tribunal applied a modest interest rate (approximately 2% per annum pre-award).

Post-Award Challenges and Appeals

Because the case proceeded under the ICSID Additional Facility Rules, post-award challenges were addressed through national court proceedings rather than ICSID annulment. Venezuela sought to resist enforcement in various jurisdictions, raising sovereign immunity arguments.

Enforcement and Settlement

Following the award, Gold Reserve pursued recognition and enforcement in multiple jurisdictions. In 2016, the parties entered into a settlement framework providing for staged payment of the award. Enforcement proceedings continued in parallel to secure payment of outstanding sums.

Occidental Petroleum Corporation v. Ecuador (ICSID – Revised Quantum 2015–2017)

ICSID Case No:	Case No. ARB/06/11
Date of Infraction	15 May 2006 (Termination of Participation Contract for Block 15)
Date of Original Award	5 October 2012
Date of Annulment Decision (Quantum Revised)	2 November 2015
Quantum of Damages Claimed	Approximately US$3.3 billion
Quantum Awarded – Principal (2012)	US$1.77 billion
Quantum Awarded – Principal (Revised 2015)	US$1.06 billion (25% reduction applied)
Interest – Pre-award	6-month USD LIBOR-based rate, compounded annually
Interest – Post-award	6-month USD LIBOR-based rate, compounded annually
Interest Structure	Compounded annually until payment
Post-award Status	Award binding under ICSID Convention; structured payment arrangements followed

Description of the Offence

Occidental Petroleum Corporation (Oxy) held interests in Block 15 in Ecuador under a Participation Contract. In May 2006, Ecuador terminated the contract after Occidental transferred a portion of its interest without prior ministerial approval. Ecuador subsequently seized control of the oil block. Occidental alleged that the termination constituted unlawful expropriation and breached the United States–Ecuador Bilateral Investment Treaty.

Action Taken by Occidental

Occidental initiated ICSID arbitration in 2006. The claimant sought compensation based on the fair market value of its expropriated interest in Block 15. The arbitration addressed jurisdiction, liability, and quantum of damages.

Decision of the Tribunal

On 5 October 2012, the tribunal issued its award, finding Ecuador liable for unlawful expropriation and awarding US$1.77 billion in principal damages plus interest. Ecuador applied for annulment. On 2 November 2015, the ICSID ad hoc annulment committee partially annulled the award, reducing damages by 25% on contributory fault grounds. The revised principal award was approximately US$1.06 billion. Interest continued to accrue based on a 6-month USD LIBOR benchmark, compounded annually.

Post-Award Challenges and Appeals

Ecuador pursued annulment under the ICSID Convention. The annulment committee upheld liability but reduced the quantum of damages. Following the annulment decision, the revised award remained binding and enforceable under the ICSID Convention.

Enforcement and Settlement

Following the revised award, Ecuador entered into arrangements to satisfy the judgment. The case remains one of the largest ICSID awards issued in the oil and gas sector. The enforcement phase involved negotiations and structured payment mechanisms rather than extended global attachment litigation.

NextEra Energy Global Holdings B.V. v. Kingdom of Spain (ICSID 2019)

ICSID Case No:	Case No. ARB/14/11
Date of Infraction	2013–2014 (Reform of Spain's renewable energy subsidy regime)
Date of Final Award	12 December 2019
Treaty Basis	Energy Charter Treaty (ECT)
Quantum of Damages Claimed	Approximately €291 million
Quantum Awarded – Principal	Approximately €290 million
Quantum Awarded – Interest	Pre- and post-award interest applied
Interest Rate Applied	3-month EURIBOR + 2%, compounded annually
Liability Finding	Breach of fair and equitable treatment under ECT
Annulment Status	Spain initiated annulment proceedings under ICSID Convention
Post-award Status	Award binding subject to annulment; enforcement rights preserved

Description of the Offence

NextEra Energy Global Holdings B.V., through its investment vehicles, invested in solar photovoltaic projects in Spain under a regulatory regime that provided fixed feed-in tariffs. Between 2013 and 2014, Spain introduced substantial reforms to its renewable energy framework, replacing the tariff system with a new remuneration model. NextEra alleged that these measures significantly reduced the expected returns of its investments and constituted a breach of the Energy Charter Treaty, including violation of the fair and equitable treatment standard.

Action Taken by NextEra

NextEra initiated ICSID arbitration proceedings under the Energy Charter Treaty in 2014. The claimant sought compensation based on the reduction in value of its renewable energy investments, supported by discounted cash flow valuation methodologies.

Decision of the Tribunal

On 12 December 2019, the tribunal issued its final award, finding Spain liable for breach of the fair and equitable treatment standard under the Energy Charter Treaty. The tribunal awarded approximately €290 million in principal damages. Interest was applied at a rate of 3-month EURIBOR plus 2%, compounded annually, increasing the total amount payable until full satisfaction of the award.

Post-Award Challenges and Appeals

Spain initiated annulment proceedings under the ICSID Convention seeking to overturn the award. Annulment proceedings have been pursued alongside broader EU-level objections to intra-EU arbitration under the Energy Charter Treaty framework.

Enforcement and Enforcement Actions

NextEra retains enforcement rights under the ICSID Convention. Enforcement actions may be pursued in jurisdictions where Spanish state assets are located, subject to sovereign immunity principles. The case forms part of a wider group of renewable energy arbitration awards against Spain arising from the 2013–2014 regulatory reforms.

Hydro Energy 1 S.à.r.l. v. Kingdom of Spain (ICSID 2022)

ICSID Case No:	**Case No. ARB/20/1**
Date of Infraction	2013–2014 (Reform of Spain's renewable energy regime)
Date of Final Award	31 March 2022
Treaty Basis	Energy Charter Treaty (ECT)
Quantum of Damages Claimed	Approximately €120 million
Quantum Awarded – Principal	Approximately €96 million
Quantum Awarded – Interest	Pre- and post-award interest awarded
Interest Rate Applied	EURIBOR-based rate + margin (compounded annually)
Liability Finding	Breach of fair and equitable treatment under ECT
Annulment Status	Spain initiated annulment proceedings under ICSID Convention
Post-award Status	Award binding subject to annulment; enforcement rights preserved

Description of the Offence

Hydro Energy 1 S.à.r.l. invested in Spanish renewable energy projects under a regulatory regime that provided stable remuneration incentives. In 2013–2014, Spain implemented significant reforms to its renewable energy framework, replacing the fixed tariff regime with a new compensation model. Hydro Energy alleged that these measures materially reduced the value of its investment and breached Spain's obligations under the Energy Charter Treaty, including the fair and equitable treatment standard.

Action Taken by Hydro Energy 1

Hydro Energy initiated ICSID arbitration proceedings under the Energy Charter Treaty. The claimant sought compensation for the reduction in value of its renewable investments, supported by expert valuation evidence, including discounted cash flow analysis.

Decision of the Tribunal

On 31 March 2022, the tribunal issued its final award, finding Spain liable for breach of the fair and equitable treatment standard under the Energy Charter Treaty. The tribunal awarded approximately €96 million in principal damages. Interest was applied using a EURIBOR-based benchmark plus a margin, compounded annually, increasing the total payable amount until payment is made.

Post-Award Challenges and Appeals

Spain initiated annulment proceedings under the ICSID Convention. As with other Spain renewable energy cases, annulment has been pursued in parallel with broader legal debates concerning intra-EU arbitration under the Energy Charter Treaty.

Enforcement and Enforcement Actions

Hydro Energy retains enforcement rights under the ICSID Convention. Enforcement actions may be pursued in jurisdictions where Spanish state assets are located, subject to sovereign immunity principles. The case forms part of a wider series of renewable energy arbitration awards issued against Spain following the 2013–2014 regulatory reforms.

Karkey Karadeniz Elektrik Uretim A.S. v. Islamic Republic of Pakistan (ICSID 2017)

ICSID Case No:	ARB/13/1
Date of Infraction	2012 (Termination of power rental contracts and seizure of power ships)
Date of Liability Decision	22 August 2017 (Final Award addressed liability and quantum)
Date of Final Award	22 August 2017
Quantum of Damages Claimed	Approximately US$1 billion
Quantum Awarded – Principal	Approximately US$800 million
Quantum Awarded – Interest	Pre- and post-award interest awarded
Interest Rate Applied	LIBOR-based benchmark + margin, compounded annually
Treaty Basis	Turkey–Pakistan Bilateral Investment Treaty
Annulment Status	Pakistan initiated annulment proceedings
Post-award Status	Award binding subject to annulment; enforcement and settlement negotiations pursued

Description of the Offence

Karkey Karadeniz Elektrik Uretim A.S., a Turkish power generation company, entered into contracts to supply electricity to Pakistan through floating power plants (power ships). In 2012, Pakistan terminated the rental power contracts following domestic legal proceedings and seized Karkey's vessels. Karkey alleged that these actions constituted unlawful expropriation and breaches of fair and equitable treatment protections under the Turkey–Pakistan Bilateral Investment Treaty.

Action Taken by Karkey

Karkey initiated ICSID arbitration proceedings in 2013 under the Turkey–Pakistan BIT. The claimant sought compensation reflecting the loss of contractual rights, detention of assets, and lost profits arising from the termination of the power rental agreements.

Decision of the Tribunal

On 22 August 2017, the tribunal issued its final award, finding Pakistan liable for breaches of the BIT, including unlawful expropriation. The tribunal awarded approximately US$800 million in principal damages. Interest was awarded on a LIBOR-based benchmark plus a

margin, compounded annually, which increased the total payable amount until satisfaction of the award.

Post-Award Challenges and Appeals

Pakistan initiated annulment proceedings under the ICSID Convention seeking to overturn the award. Annulment proceedings were pursued while parallel settlement discussions took place.

Enforcement and Settlement

Following the award, Karkey pursued enforcement and entered into negotiations with Pakistan. The dispute ultimately led to a settlement framework, with structured payments agreed to resolve the award rather than prolonged global enforcement litigation.

Vattenfall AB v. Federal Republic of Germany (ICSID – 2021 Settlement)

ICSID Case No:	Case No. ARB/12/12
Date of Infraction	2018–2020 (German coal phase-out legislation affecting power plants)
Date of ICSID Registration	2012 (ECT claim; amended following coal exit legislation)
Date of Settlement	15 December 2021 (Settlement agreement concluded)
Treaty Basis	Energy Charter Treaty (ECT)
Quantum of Damages Claimed	Approximately €4.7 billion
Settlement Amount	Approximately €1.4 billion (negotiated compensation package)
Interest Awarded	Not applicable – resolved via negotiated settlement
Interest Rate Applied	Not applicable (no final award issued)
ICSID Outcome	Proceedings discontinued following settlement
Post-settlement Status	Compensation incorporated into Germany's coal exit framework

Description of the Offence

Vattenfall AB, a Swedish energy company, operated coal-fired power plants in Germany. Germany enacted legislation accelerating the phase-out of coal-fired electricity generation as part of its climate policy framework. Vattenfall alleged that the legislative measures significantly reduced the economic value of its investments and breached protections under the Energy Charter Treaty, including fair and equitable treatment and protection against indirect expropriation.

Action Taken by Vattenfall

Vattenfall initiated ICSID arbitration proceedings under the Energy Charter Treaty, seeking approximately €4.7 billion in compensation. The claim was grounded in alleged regulatory changes that materially altered the economic framework governing its coal-fired assets.

Proceedings and Outcome

The arbitration progressed but did not result in a final award. Instead, on 15 December 2021, Vattenfall and Germany reached a negotiated settlement as part of Germany's broader coal exit compensation scheme. The settlement amount was approximately €1.4 billion. Following the agreement, ICSID proceedings were discontinued.

Post-Settlement Status

Because the matter concluded through settlement, there was no annulment phase or post-award appeal. The compensation was incorporated into Germany's legislative and administrative framework governing coal plant closures.

Enforcement Considerations

Enforcement proceedings were not required as the dispute was resolved through a negotiated agreement. The case is notable as a high-value Energy Charter Treaty dispute resolved politically rather than through final adjudication, illustrating the potential for structured settlement in large regulatory investment disputes.

Eiser Infrastructure Limited v. Kingdom of Spain (ICSID 2017)

ICSID Case No:	Case No. ARB/13/36
Date of Infraction	2013–2014 (Reform of Spain's renewable energy subsidy regime)
Date of Final Award	4 May 2017
Treaty Basis	Energy Charter Treaty (ECT)
Quantum of Damages Claimed	Approximately €300 million
Quantum Awarded – Principal	Approximately €128 million
Quantum Awarded – Interest	Pre- and post-award interest awarded
Interest Rate Applied	EURIBOR-based benchmark + 2%, compounded annually
Liability Finding	Breach of fair and equitable treatment under ECT
Annulment Status	Partial annulment decision issued in 2020 (procedural grounds)
Post-award Status	Award revised but liability upheld; enforcement rights preserved

Description of the Offence

Eiser Infrastructure Limited invested in concentrated solar power (CSP) projects in Spain under a regulatory regime that guaranteed stable feed-in tariffs. Between 2013 and 2014, Spain introduced sweeping reforms to its renewable energy framework, replacing the fixed tariff system with a new remuneration model. Eiser alleged that these measures fundamentally altered the economic basis of its investment and breached protections under the Energy Charter Treaty.

Action Taken by Eiser

Eiser initiated ICSID arbitration under the Energy Charter Treaty in 2014. The claimant sought compensation for the reduction in value of its renewable energy investments, supported by expert valuation evidence based on discounted cash flow methodologies.

Decision of the Tribunal

On 4 May 2017, the tribunal issued its final award, finding Spain liable for breach of the fair and equitable treatment standard under the Energy Charter Treaty. The tribunal awarded approximately €128 million in principal damages. Interest was applied using a EURIBOR-based benchmark plus a margin, compounded annually, which increased the total payable amount until payment.

Post-Award Challenges and Appeals

Spain initiated annulment proceedings under the ICSID Convention. In 2020, an ad hoc annulment committee partially annulled the award on procedural grounds related to tribunal member disclosures but upheld key liability findings. The case was subsequently reconstituted for limited reconsideration.

Enforcement and Enforcement Actions

Eiser retained enforcement rights under the ICSID Convention. As with other Spain renewable energy awards, enforcement is influenced by ongoing intra-EU legal debates regarding Energy Charter Treaty arbitration.

Antin Infrastructure Services Luxembourg S.à.r.l. v. Kingdom of Spain (ICSID 2018)

ICSID Case No:	ARB/13/31
Date of Infraction	2013–2014 (Reform of Spain's renewable energy regime)
Date of Final Award	15 June 2018
Treaty Basis	Energy Charter Treaty (ECT)
Quantum of Damages Claimed	Approximately €630 million
Quantum Awarded – Principal	Approximately €112 million
Quantum Awarded – Interest	Pre- and post-award interest awarded
Interest Rate Applied	EURIBOR-based benchmark + 2%, compounded annually
Liability Finding	Breach of fair and equitable treatment under ECT
Annulment Status	Spain initiated annulment proceedings under ICSID Convention
Post-award Status	Award binding subject to annulment; enforcement proceedings pursued

Description of the Offence

Antin Infrastructure Services Luxembourg S.à.r.l., through investment vehicles, invested in Spanish solar thermal power plants under a regulatory framework providing fixed feed-in tariffs. Between 2013 and 2014, Spain implemented significant reforms replacing the tariff regime with a new remuneration system. Antin alleged that these measures substantially reduced expected returns and breached Spain's obligations under the Energy Charter Treaty, including the fair and equitable treatment standard.

Action Taken by Antin

Antin initiated ICSID arbitration proceedings under the Energy Charter Treaty in 2013. The claimant sought compensation reflecting the diminution in value of its renewable energy investments, supported by expert valuation analysis including discounted cash flow methodologies.

Decision of the Tribunal

On 15 June 2018, the tribunal issued its final award, finding Spain liable for breach of the fair and equitable treatment standard under the Energy Charter Treaty. The tribunal awarded approximately €112 million in principal damages. Interest was applied using a EURIBOR-based benchmark plus a margin, compounded annually, increasing the total amount payable until payment.

Post-Award Challenges and Appeals

Spain initiated annulment proceedings under the ICSID Convention. Annulment proceedings were pursued alongside broader legal challenges raised by Spain concerning intra-EU arbitration under the Energy Charter Treaty.

Enforcement and Enforcement Actions

Antin retained enforcement rights under the ICSID Convention. Enforcement actions have been pursued in jurisdictions where Spanish state assets are located, subject to sovereign immunity principles and ongoing intra-EU enforcement debates.

Masdar Solar & Wind Cooperatief U.A. v. Kingdom of Spain (ICSID 2018)

ICSID Case No:	Case No. ARB/14/1
Date of Infraction	2013–2014 (Reform of Spain's renewable energy subsidy regime)
Date of Final Award	16 May 2018
Treaty Basis	Energy Charter Treaty (ECT)
Quantum of Damages Claimed	Approximately €291 million
Quantum Awarded – Principal	Approximately €64 million
Quantum Awarded – Interest	Pre- and post-award interest awarded
Interest Rate Applied	EURIBOR-based benchmark + 2%, compounded annually
Liability Finding	Breach of fair and equitable treatment under ECT
Annulment Status	Spain initiated annulment proceedings under ICSID Convention
Post-award Status	Award binding subject to annulment; enforcement proceedings pursued

Description of the Offence

Masdar Solar & Wind Cooperatief U.A., a Dutch renewable energy investor, invested in concentrated solar power projects in Spain under a regulatory framework that provided fixed feed-in tariffs. Between 2013 and 2014, Spain enacted substantial reforms replacing the tariff regime with a new remuneration system. Masdar alleged that these measures materially reduced the value of its investments and breached Spain's obligations under the Energy Charter Treaty, including the fair and equitable treatment standard.

Action Taken by Masdar

Masdar initiated ICSID arbitration proceedings under the Energy Charter Treaty in 2014. The claimant sought compensation reflecting the reduction in value of its renewable energy investments, supported by expert valuation analysis including discounted cash flow methodologies.

Decision of the Tribunal

On 16 May 2018, the tribunal issued its final award, finding Spain liable for breach of the fair and equitable treatment standard under the Energy Charter Treaty. The tribunal awarded approximately €64 million in principal damages. Interest was applied using a EURIBOR-based benchmark plus a margin, compounded annually, increasing the total amount payable until payment.

Post-Award Challenges and Appeals

Spain initiated annulment proceedings under the ICSID Convention. Annulment proceedings formed part of a broader pattern of Spain challenging renewable energy arbitration awards under the Energy Charter Treaty.

Enforcement and Enforcement Actions

Masdar retained enforcement rights under the ICSID Convention. Enforcement actions have been pursued in jurisdictions where Spanish state assets are located, subject to sovereign immunity principles and ongoing intra-EU enforcement debates.